

equity returns between 1900 and 2000. On the other hand, during the past quarter century Malaysia, Korea, Thailand and, of course, China have simultaneously had some of the world's highest economic growth rates and lowest stock returns.

Just as De Bondt and Thaler's Winner and Overvalued portfolios had lower returns than the Loser and Undervalued portfolios, so do high-growth nations have lower returns than low-growth nations. Why does high growth seem to depress stock market returns and low growth seem to generate high stock market returns? It is not that growth destroys returns, but that the market already recognizes the high-growth nation's potential, and bids the price of its equities too high. Market participants become overly optimistic during periods of high growth, driving up the prices of stocks and lowering long-term returns, and become too pessimistic during busts, selling down stocks and creating the conditions for high long-term returns. The effects of recession on the stock market, according to Jay Ritter, "are partly due to higher risk aversion . . . but also due partly to an irrational overreaction."¹⁷ De Bondt and Thaler would be proud. Ritter adds that this "irrationality" generates volatility "and mean-reversion over multi-year horizons."¹⁸ Graham, too, would agree.

The implications for mean reversion in stocks are counterintuitive. Stocks with big market price gains and historically high rates of earnings growth tend to grow earnings more slowly in the future, and underperform the market. Stocks with big market price losses and historically declining earnings tend to see their earnings grow faster, and outperform the market. Undervalued stocks with historically declining earnings grow earnings faster than overvalued stocks with rapidly increasing earnings. This is mean reversion, and, as Benjamin Graham first identified, it's the phenomenon that leads value strategies to beat the market. Buffett's version of Graham's explanation for it as it applies to stocks is as lucid as it gets (there's no record of Graham using precisely this analogy):¹⁹

In the short-run, the market is a voting machine—reflecting a voter-registration test that requires only money, not intelligence or emotional stability—but in the long-run, the market is a weighing machine.

BLIND TO THE TURN OF FORTUNA'S WHEEL

Sebastian Brant's *Ship of Fools* (1494) is a collection of stories about a ship laden with corrupt, foolish, or oblivious passengers setting sail for a "fool's paradise," and seemingly ignorant of their direction. Albrecht Dürer created